

How can investors access this asset class?

As described above, for investors, real estate is no longer just about buying physical properties. Today an investor can participate in the sector through multiple ways other than simply buying a property.

Real Estate Private Equity Funds

Real Estate Private Equity funds give funds to developers in exchange for equity. The funding (and hence the equity) could be at the developer's holding company level or for specific projects. When it is for a specific project, it is also known as SPV (Special Purpose Vehicle) funding. An SPV is typically a company that the developer incorporates only for execution of one or more specific projects. Since it is an equity investment, the investor gets full participation in the SPV's/Fund's profits. However, the flip side is that the equity investor has to bear the downside as well. While prices usually don't crash, projects typically get delayed. This increase in the duration of the project means that the equity investor's return plummets (as the return comes much later than the investor expected).

For example, an investor may get Rs 150 back on an investment of Rs 100. If the money comes back in two years, it is a compounded annualized return of 22 per cent. However, if the same money comes back in five years (maybe because the local government took longer than expected to give the 'occupancy certificate'), the investor's compounded annualized return drops to a paltry 8 per cent. Investors who get an 8 per cent return from investing in real estate will justifiably feel hard done by as they might have made more money from investing in a fixed deposit than in a high-risk venture like a real estate project.

Private equity funds burst into the scene in 2005–06 and saw many launches in the next few years. These funds typically had a tenor of five to seven years. However, almost a decade later, many of them are yet to return money, and almost none of them gave the kind of returns they were aspiring